

The investor, theoretically at least, is placing his capital to work more or less permanently. He does not expect to change his holdings of securities with every month or every year. If he buys bonds or stocks for investment at a certain yield, his intention is to hold such bonds and stocks. He may change frequently to other issues without becoming a frank speculator. But if, unexpectedly, his investment promptly shows him a large profit and he sells out, he has simply cashed in on a speculative development which he did not foresee.

This situation, of course, exists in thousands of cases and this is why there is no clear-cut distinction between the great investor group and the great speculator group. Many a man is both an investor and speculator at the same time. Many are investors for a period and then become speculators for a period. In fact, every investor who does not give proper consideration to the broad, underlying fundamentals is in danger of unknowingly becoming a speculator at any time. He may buy what he thinks is a high-grade investment, but the time may quickly come when to his surprise he finds himself the holder of a speculation.

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To sum up, the investor pure and simple is the person who, when placing his capital at work, gives as full thought and consideration to general and fundamental factors underlying our modern civilization as he does to the specific questions of security, management, past records, financial stability, and earning power of the proposition itself. He may often be in error and exercise unsound judgment. He may be misled or misinformed and his knowledge may be superficial. If he does not look at the whole picture and acts only on a section of it, he will, sooner or later, come to grief.